CANON MEXICANA, S. DE R.L. DE C.V.

TITULO: **QUOTA, ACHIEVEMENT AND COMMISSION POLICY**					
REF: BISGAV-005/18	INICIO VIGENCIA			VERSION	PAGINA 1 DE 4
	DIA	MES	AÑO		
	31	05	18	**1 .0**	

OBJECTIVE

Define the guideline for quota establishment and commission design and payment process for all the BISG sales channels.

SCOPE

All BISG sales channels.

POLICIES

QUOTAS AND ACHIEVEMENTS

1. The Quota setting is in charge of Sales Administration according to the following:

2. The Quota is based in the Budget (Original) provided by Business Planning + x % in order to make sure the budget is met.

3. Quotas are announced to Managers and Sales Representatives through the quota and commission letter (that are presented in an annual or semi-annual basis, as appropriate.

4. In case the quota are presented in a semi-annual basis, the quota of the next half, should be generated based on the Budget Review version that applies (commonly should be Operating Budget)

ELABORADO POR	REVISADO POR:	AUTORIZADO POR:
Arlette Martínez Gerente Senior, Administración de Ventas BISG	Arlette Martínez Gerente Senior, Administración de Ventas BISG	Morihiro Eto Director, Administración de Ventas BISG
FECHA: 30/05/2018	FECHA: 30/05/2018	FECHA: 30/05/2018

5. Sales Administration is in charge of the follow up of only Direct Sales achievements. Three partial deliveries must be made starting from 22nd – 24th of each month, until the last working day of the month.

6. In the case of Rental: EBSS achievements are conditioned to the installation of the equipments. The installation calls must be closed by Customer Care Center no longer than 12 am of the last working day of each month. The installation report must be run by Sales Administration at 8:00 am of the 1st working day of the next month and only those equipments whose calls are closed with "FIN" or "CLI" shall be considered for achievement purposes

7. In the case of Sales: EBSS achievements are subject to those equipments invoiced according to S21 Sales Report

8. In the case of Renewals (Installed Base) & Service Contracts: EBSS achievements are conditioned to the physical delivery of the signed document, maximum the last working day of the month.

COMmISSIONS

1. Sales Administration area is in charge of handling the following processes:
    a. Commission scheme design:

According to the objectives, the area designs ad-hoc schemes for each sales area and the proposal is presented to:

- BISG Sales Administration Director
- If it is required, BISG Sr. Director, and if it is necessary to escalate with CEO, it is done accordingly.

Once approved, Sales Administration proceeds to generate the quota and commission letters where all policies must be contained.

b. Commission calculation:

Based on the pertinent reports, the base information is extracted for the calculation of the commissions on files previously formulated to avoid mistakes and they are applied with the factors according to the applicable schemes.

a. EBSS

- Rental: The report that is used is Folios + Mes, where each of the on-board equipment is contained and whose trigger to be considered subject to commission is the status of Installation CLI or FIN (however, the information is

also manually reviewed for deviations that occur in the closing of Service Administration calls) and whose information is complemented with% 's of GP.

- Sales: The report that is used is the Sales "BISG Product Invoice with Cost (Current Month)" and is updated with the GP information calculated by the Pre-Sales area
- Renewal (installed base) & Service Contract: The report is delivered by the Contract Analyst and is updated with GP information calculated by the Pre-Sales area.

b. PPS

The report that is used is the Sales "BISG Product Invoice with Cost (Current Month)" for Sale, however, for GP, depending on the case is:

- The GP of the same report is obtained and adjusted according to additional costs not included in it.
- It is updated with GP information calculated by the Pre Sales area as for GP

c. Dealers & Health Care:

The report that is used is the Sales "BISG Product Invoice with Cost (Current Month)" both for Sales and for GP figures.

2. Once the calculations have been made, the sheets are printed and delivered to the Managers for review and delivery to the Sales Executives.

3. If necessary, make corrections.

4. The signed letters are gathered

5. All the information is consolidated in the file "Concentrado Pago de Comisiones + Month"

6. The file "Concentrado Pago de Comisiones + Month"is delivered to the BISG Sales Administration Director for approval

7. Sales Administration is in charge of collecting the signatures:
   a. Sales Administration Manager
   b. Sales Administration Director
   c. BISG Sr. Director (in some cases, in case it he is not available, the signature is omitted)
   d. CEO

It is sent and delivered on the 7th business day of the month to HR Specialist Sr. who signs it and delivers it to the Finance Director.